

Sector: Apparel & Lifestyle Retail

15th July, 2025

Stock Type **N/A** Bloomberg Code **N/A** Sensex **N/A** NSE Code **N/A** BSE Code **N/A** Time Frame **12 Months**

BUY

Market Cap (Rs.cr)	N/A
52 Week High — Low (Rs.)	N/A - N/A
Enterprise Value (Rs. cr)	N/A
Outstanding Shares (cr)	N/A
Free Float (%)	N/A
Dividend Yield (%)	-
6m average volume (cr)	N/A
Beta	N/A
Face value (Rs.)	N/A

Total

Promoter Pledge

	3 Month	6 Month	1 Year
Absolute Return	N/A	N/A	N/A
Absolute Sensex	N/A	N/A	N/A
Relative Return	N/A	N/A	N/A

*over or under performance to benchmark index

Y.E March (cr)	FY25A	FY26E	FY27E
Sales	6,820	8,450	10,380
Growth (%)	22.4	23.9	22.8
EBITDA	910	1,210	1,560
EBITDA Margin (%)	13.3	14.3	15
PAT Adjusted	320	430	600
Growth (%)	45	34.4	39.5
Adjusted EPS	10.2	13.7	19.1
Growth (%)	45	34.3	39.4
P/E	72.7	54.2	38.8
P/B	9.8	8.4	6.9
EV/EBITDA	38.1	28.9	21.4
ROE (%)	14.2	17.5	20.1
D/E	0.3	0.2	0.2

Nova Retail Ltd. is a multi-brand apparel and lifestyle retailer operating over 420 stores across India, alongside a fast-growing direct-to-consumer online channel. The company sources and distributes both in-house and licensed brands.

- Consolidated revenue grew 24.6% YoY in Q1FY26 to Rs. 1,842cr, led by same-store sales growth of 11.2% and 38 new store additions during the quarter.
- Online channel revenue rose 41.3% YoY to Rs. 312cr, now 17% of total sales.
- Gross margin expanded 180bps YoY to 52.4% on better full-price sell-through and reduced discounting.
- EBITDA margin improved to 14.1% from 11.8% in Q1FY25, aided by operating leverage.
- Reported PAT rose 62% YoY to Rs. 94cr.
- Net debt reduced to Rs. 210cr from Rs. 340cr a year ago on stronger operating cash flow.

Nova Retail's continued store rollout, improving online contribution, and margin discipline support a positive medium-term outlook. Given the recent re-rating in the sector, we maintain our BUY rating with a revised target price of Rs. 890, based on 28x FY27E EPS.

Rs.cr	Q1FY26	Q1FY25	YoY Growth (%)	Q4FY25	QoQ Growth (%)
Sales	1,842	1,478	24.6	1,695	8.7
EBITDA	260	174	49.4	232	12.1
Margin (%)	14.1	11.8	N/A	13.7	N/A
EBIT	205	128	60.2	178	15.2
PBT	188	110	70.9	162	16
Reported PAT	94	58	62.1	80	17.5

Key highlights

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Change in Estimates

Year / Rs cr	Old estimates			New estimates		Change (%)
	N/A	N/A	N/A	N/A	N/A	N/A

Consolidated Financials

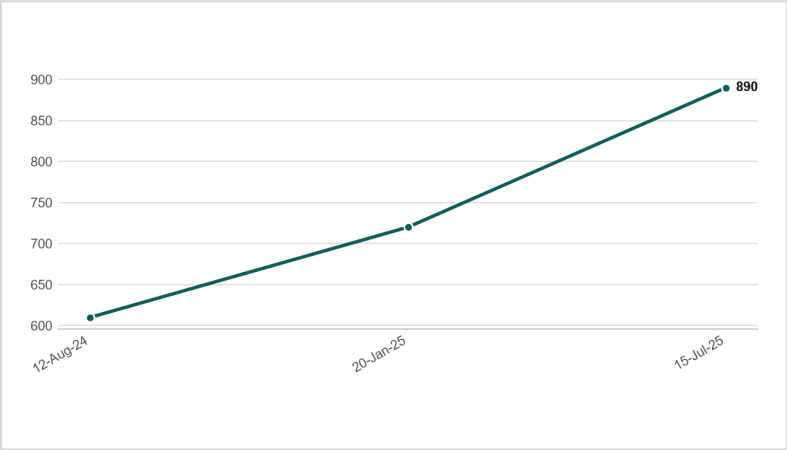
Profit & Loss
Y.E March (Rs. Cr)

Balance Sheet
Y.E March (Rs. Cr)

Cashflow
Y.E March

Ratio
Y.E March

Recommendation Summary - (last 3 years)



Dates	Rating	Target
12-Aug-24	BUY	610
20-Jan-25	BUY	720
15-Jul-25	BUY	890

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral
To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

The recommendations are based on 12 month horizon, unless otherwise specified. The investment ratings are on absolute positive/negative return basis. It is possible that due to volatile price fluctuation in the near to medium term, there could be a temporary mismatch to rating.

● Upgrade ● No Change ● Downgrade

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